Capital formation and FDI represent investment in the creation of fresh productive capacity, whereas investment in the portfolio of existing assets, including by FPIs, generally represent investment in existing assets, impacting wealth but not productive capacity.

Independent India Was Born a Poor Nation, With Low Income and Low Savings

The First Plan noted the abysmally low level of investment in capital formation prevalent in India—about 5 per cent—and the poor availability of data.

With an estimated high rate of population growth (about 2.75 per cent per annum), despite assuming a very favourable capital output ratio (incremental units of capital required to generate additional one unit of output) of 3, the First Plan estimated that it would take twenty-five years to double the per-capita income in India by raising the national income of Rs 9000 crore in 1950–51 by 160 per cent by 1975–76. This would require, according to the Plan, raising the savings and investment rate substantially from 5 per cent to about 20 per cent over this period.

India's savings rate did improve slowly but steadily in the second half of the twentieth century. The 1999–2000 Economic Survey noted that the savings rate (gross domestic savings comprising savings of all players: households, the private corporate sector and government) was 10.2 per cent of GDP in 1950–51 and fixed capital formation was 9.3 per cent (public and private sector combined). The savings rate fluctuated between 8.1 per cent and 13.9 per cent during the decade, recorded 12.7 per cent in 1960–61 and averaged a little more than 10 per cent. Capital formation fared better with inflow of some foreign savings and averaged over 11.5 per cent.

India's domestic savings rate crossed 15 per cent in 1959–60, 20 per cent in 1976–77 and 25 per cent in 1994–95. Financed largely by the domestic savings rate, the GFCF rate crossed 15 per cent for the first time